

Disclaimer: These heads of terms set out the principal terms and conditions on, and subject to which, Hellenic Bank Public Company Ltd (Bank) is willing to consider granting the credit facilities as set out below to the Company, subject to agreement and signing by the parties of a detailed legally binding agreement.

These heads of terms constitute an indicative proposal which is subject to full assessment and approval by the relevant authorities within the Bank, and they are neither exhaustive nor intended to be legally binding, except as specifically set out below. They should not be construed as a commitment to provide facilities under these or any other terms.

REQUESTED FACILITIES, INDICATIVE TERMS AND CONDITIONS	
Topic	Description
Borrower:	ARNAL VERDE LTD <u>Note:</u> The Bank may grant financing on an SPV level, subject to the final structure of the Borrower as will be agreed with the Bank.
Sponsors:	ML HELIOS SYSTEMS LTD
Transaction Outline:	The proposed transaction relates to the assessment of 3 photovoltaic parks in Aylos Mamas and Sia of total capacity 5,77MW (hereafter the "Project"), for financing purposes.
Total Facility Amount¹:	Senior Term Loan Facility of up to €3.250.000 capped to a max calculated on the following financial ratios: - Min DSCR: Base scenario 1.4x, Stressed scenario 1.0x - Max Debt/Equity: 60/40 (where equity is the project cost of around €6,9m minus debt) The total facility amount will be determined upon full assessment and will be subject to the independent Technical and Legal due diligence.
Duration:	The tenor of the Loan Facility may be extended up to a max of 15 years with up to 20% maximum balloon payment . Cash sweep mechanism to be agreed on Excess Cashflow after debt service to secure repayment within a maximum period of 12 years, following the detailed assessment of the funding request and business plan.
Repayment Profile:	Source of Repayment: Income from the sale of electricity <u>During the construction and set-up period:</u> Capital grace period of maximum 12 months (or up to COD if earlier). Interest payment on capitalisation dates (30/6 and 31/12). <u>Upon the successful completion and operation of the PV park:</u> Repayable by quarterly instalments including capital and interest – front loaded amortization.
Interest Range:	<u>During the construction and set-up period:</u> Euribor 3m (floor 1.75%) plus margin in the range of 1.25% - 1.75% subject to full assessment of your request <u>Upon Successful Commencement of operations:</u> Reduction in margin by 0.25%
Interest Periods:	6 months.
Interest Payment:	Semi-annual, on 30/06 and 31/12 of each year
Default Interest:	For any due and unpaid amounts, the Default Interest shall be the applicable Interest set out above for the non-overdue debt plus 2.00% p.a. on the overdue amounts of the Loan.
Commissions & Fees:	Arrangement Fees: 0.50% lump sum on loan amount, payable upon granting of Term Loan Facility Legal Documentation Fees: €500 for each Term Loan Study fees: €10,000, payable in advance for the assessment and completion of formal credit application. Study fees will be deducted from Arrangement Fees upon financial closure. Undrawn Commitment Fee: 1.00% on the undrawn amount (starting from the end of the capital grace period).

¹ Total Facility Amount stands for the initial Term Loan Amount, increased by the capitalized Interest after the end of the grace period.

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	Other out-of-pocket expenses: Other applicable costs and fees charged by third parties to be agreed and paid by the borrowers (e.g. for Independent Technical Due Diligence, Independent Legal Due Diligence and fees related to the Land Registry Office, Registrar of Companies, Stamps, Loan Documents, etc).	
Prepayment Fee:	During the first 3 years: 3.00% on the prepaid amount; thereafter, to be reduced to 1.50%. Prepayment fee not to apply if repayment is accelerated through cash sweep.	
Drawdown:	Subject to the satisfaction of the Conditions Precedent to be further discussed between the Parties, the Term Loan Facility shall be made available for drawdown in partial amounts based on work executed (excluding VAT) and in accordance with certificates issued by the supervising engineer. Own equity contribution from available/cleared funds to proceed any drawdown.	
Cash Waterfall:	All Revenues received by the Borrower shall be paid into the Revenue Account. The balance standing to the credit of the Revenue Account shall be applied in the following order: a) payment of Operating Costs, (incl. land lease payments) b) payment of all Taxes due c) payment of the loan Instalments of the Term Loan Facility d) top-up / replenishment of the DSRA, LRA and CMRA until full built-up e) prepayment of the Term Loan Facility in accordance with the applicable Cash Sweep f) distribution to the shareholders, including management fees to related parties, subject to dividend distribution conditions	
Reserve Accounts:	1. Interest Service Reserve Account ("IPA") during construction period: for an amount equal to 6-months interest payments to be built up at the outset. 2. Debt Service Reserve Account ("DSRA") upon commencement of operations: for an amount equal to 6 months instalments to be built up within 12 months from operation of the Project. 3. Lease Rental Reserve ("LRA"): for an amount equal to the annual rental payment to be built up within 12 months from operation of the Project. 4. Capital Maintenance Reserve Account ("CMRA"): for a minimum 3% of eligible Fixed Asset and to be built-up within 2 years from operation of the Project. Any withdrawals from the reserve accounts must be replenished maximum within 12 months.	
Financial Covenants (for testing over the loan term):	1. Minimum Debt Service Coverage Ratio ('DSCR') 1,2x 2. Minimum Interest Cover Ratio ('ICR') 2,0x 3. Maximum Leverage Ratio 6x DSCR = Free Cash Flow / Annual Debt Service ICR = EBITDA / Interest Charge Leverage Ratio = Total Bank Debt / EBITDA where: EBITDA = Earnings before Interest Tax, Depreciation and Amortisation, minus Lease payments Free Cash Flow = EBITDA +/- Working Capital +/- Net non-bank-financed CapEx – Payable taxation	
Securities:	1. First Rank Mortgage on the leasehold right of land for each of the projects. 2. First Rank Floating Debenture over all Borrower's assets. 3. First Rank Fixed Charge on mechanical equipment of the projects. 4. Pledge of shares of the Borrower. 5. Assignment of all contractor and subcontractor (if applicable) performance or advance payment guarantees (when available). 6. Assignment of contractor's all risk insurances, preferably with Pancyprian Insurance. 7. Account pledge of the Income Proceeds Account and all Reserve Accounts. 8. Assignment of all project equipment warranties. 9. Shareholders' loans (if any) &/or any outstanding debt balances to the shareholders/directors or related companies to be fully subordinated to the Bank's loan. 10. Assignment and tripartite agreement, in favor of the Bank, of an acceptable Power Purchase Agreement (PPA) with an acceptable supplier. 11. Assignment of the Bank guarantee from the supplier (if applicable).	

	12. Post completion of construction works, assignment of full insurance by an acceptable insurance company to cover for the renewable energy project and material damage All Risks (including Sudden and Unforeseen Breakdown (Fire, Theft, Earthquake, flooding, natural disasters, malicious damage, public liability, damage to the distribution network, loss of income, public liability, employers' liability) – Exempted risks and excess amount clauses to be to the satisfaction of the Bank. The insurance policy interest to be ceded to the bank. Any proceeds from related claims to be at client's disposal to cover the cost of the related claims (from employees and public). All expenses in connection to the establishment and perfection of the Securities (including legal/notarial fees) and other out-of-pocket expenses will be borne by the Borrower.
Required Information for the assessment of your credit request (subject to Bank's satisfaction)	1. Detailed business plan / feasibility study of the project, to the Bank's satisfaction, which should include: market analysis, detailed project description, cost break-down and cash flow projections. 2. Copy of agreement for SPV acquisition. 3. Technical and Legal Due Diligence performed by Independent Consultants appointed by the Bank, to the Bank's satisfaction. 4. Copies of all relevant permits, licenses, and contracts (including EPC and O&M contracts). 5. Copies of signed Power Purchase Agreements (PPAs). If not available, copies of final draft agreements and/or Letters of Intent (LOI). 6. Copy of the signed lease agreement between the related parties. 7. Environmental Report (where applicable). 8. Audited / Management financial statements (where applicable). 9. Valuation of any properties to be mortgaged, carried out by independent valuers appointed by the Bank. 10. Detailed Group structure. 11. All documents required for KYC/ML purposes on all contracting parties. 12. Evidence of equity contribution availability (cleared funds). Note: Detailed list with all required information to be sent by the Bank at a later stage.
Other Terms & Conditions	Representations, warranties, information undertakings, positive and negative undertakings as customary for this type of transaction which, inter alia, include the following: 1. Throughout the period during which the above facilities remain in force, the Bank must be provided with financial and technical information and compliance certificates. 2. Any overheads or cost overruns to be covered by the Borrower or its' sponsors and/or shareholders. 3. Undertaking to comply to all existing regulations and/or provisions of contracts signed. 4. Satisfactory Operation & Maintenance agreements of the project should be in place for the whole duration of the loan. 5. Dividends or other distributions/payments to shareholders will be permitted, provided that there is no breach of any finance term and condition. 6. Unless the Bank otherwise agrees in writing (such consent not to be unreasonably withheld), the Borrower is bound by the following restrictions on: ▪ Loans out, guarantees, investments, disposals ▪ Additional financial indebtedness ▪ Mergers and acquisitions ▪ Business purpose and activities ▪ Change of shareholders, management control or project party ▪ New or amendments on existing/agreed Power Purchase Agreements (PPAs) and Leasehold agreements.
Events of Default:	1. Non-payment 2. Breach of Financial covenants 3. Cross-default 4. Non-payment of taxes and other liabilities to the Government 5. Failure to comply with any other provision of the Finance Documents 6. Incorrect or misleading representations 7. Material adverse change in the business 8. Insolvency, bankruptcy, administration reorganisation, liquidation 9. Sanctions 10. Creditors' actions 11. Unlawfulness 12. Cessation of business 13. Failure to maintain status/validity and enforceability of the Bank's securities

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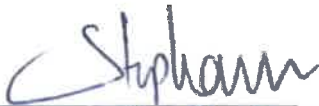
	14. Commencement of any material litigation against the Borrower and/or the guarantor 15. Issuance of final judgments against the Borrower and/or the guarantor 16. Change of control or flotation of any member of the Borrower Group 17. Non-payment of lease rental 18. Failure to renew/maintain required licenses Thresholds to be considered under certain clauses for materiality purposes.
Confidentiality:	This paragraph titled Confidentiality is legally binding. The matters contemplated by these Heads of Terms shall be treated as confidential and should not be disclosed to any person (except with the prior written consent of the other party, or in order to comply with law or by the rules and regulations of any relevant regulatory body).
Expiry of Offer:	This paragraph titled Expiry of Offer is legally binding. Within 30 days from the date of this document after which it shall automatically lapse.
Third Party Rights:	This paragraph titled Third Party Rights is legally binding. No one other than a party to this letter shall have a right to enforce any of its terms.
Governing Law:	Cyprus Law.
Disputes or Claims:	This paragraph titled Governing Law is legally binding. These Heads of Terms and any dispute or claim arising out of or in connection with them or their subject matter or formation (including non-contractual disputes or claims) shall be governed by and construed in accordance with the law of Republic of Cyprus. Each party irrevocably agrees that the courts of Cyprus shall have exclusive jurisdiction to settle any dispute or claim arising out of or in connection with these heads of terms or their subject matter or formation (including non-contractual disputes or claims).

Yours faithfully,
For Hellenic Bank Public Company Ltd



THEKLA HALOUVA

Signature



Neophytos Stephanou

26, 7, 2024
Date

Vladimir Novinov, Director of
We hereby acknowledge receipt and confirm our acceptance of the contents of these heads of terms.

Arnold Verde
dtd.

[Signature]
For Arnal Verde LTD
Borrower

29, 7, 2024
Date

Vladimir
Novinov
Director